

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

AIRBOSS DEFENSE GROUP, LLC, *Complainant*

v.

DOCKET NO. 24-14

FEDEx TRADE NETWORKS TRANSPORT & BROKERAGE, INC.;
MEDITERRANEAN SHIPPING COMPANY S.A. AND
MEDITERRANEAN SHIPPING COMPANY (USA) INC., AS
AGENT FOR MEDITERRANEAN SHIPPING COMPANY S.A.; AND
TOTAL TERMINALS INTERNATIONAL, LLC, *Respondents*.

Served: May 15, 2025

ORDER OF: Linda S. Harris CROVELLA, *Administrative Law Judge*.

INITIAL DECISION APPROVING SETTLEMENT AGREEMENT¹

I. Overview

A. Background

On April 30, 2025, Complainant AirBoss Defense Group, LLC, (“Complainant”) and Respondents FedEx Trade Networks Transport & Brokerage, Inc.; Mediterranean Shipping Company S.A. and Mediterranean Shipping Company (USA) Inc., as Agent for Mediterranean Shipping Company S.A. (collectively, “Respondents”), filed a joint motion² seeking approval of a confidential settlement agreement and dismissal with prejudice of the complaint (“Motion”), with a copy of the confidential settlement agreement. The Parties state that they “and other concerned entities engaged in multiple mediation sessions under the auspices of a federal magistrate judge, which sessions ultimately produced the complex, multiple-entity Agreement herewith submitted confidentially for approval.” Motion at 2.

On May 1, 2025, the undersigned issued an Order Seeking Clarification (“Clarification Order”) regarding the Parties’ intent to include Mediterranean Shipping Company (USA) Inc., as Agent for Mediterranean Shipping Company S.A. (“MSC Agent”), as a party to the Confidential

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

² The action against Respondent Total Terminals International, LLC was dismissed with prejudice in accordance with 46 C.F.R. §502.72(a)(2), by Notice of Voluntary Dismissal served on July 19, 2024.

Settlement Agreement and Release (“Joint Settlement”). MSC Agent is a named Respondent in this proceeding but was not named in the recitation of the parties to the Joint Settlement. Clarification Order at 1; Joint Settlement at 1. The Clarification Order also sought the name and title of the individual who signed the Joint Settlement on behalf of Mediterranean Shipping Company S.A. (“MSC S.A.”), as well as his authority to execute the agreement on behalf of MSC Agent. *Id.*

On May 5, 2025, the Parties submitted a Joint Clarification, explaining that the Joint Settlement’s “release set forth in Paragraph 2(a) of the settlement expressly includes the agents of the parties” and as the agent of MSC S.A., the terms of the Joint Settlement cover MSC Agent. Joint Clarification at 1. Moreover, the Parties “confirm it is the intent of each of them that the Joint Settlement fully and finally resolve all issues among the parties to the FMC proceeding and result in the dismissal with prejudice of the complaint in this proceeding.” *Id.* at 1-2. Further, the individual who executed the Joint Settlement on behalf of MSC S.A. is Executive Vice President of the general agent (MSC Agent) and “duly authorized to execute agreements of this type on behalf of the principal.” *Id.* at 2. Accordingly, the Parties have clarified that both named MSC Respondents seek dismissal with prejudice of the FMC complaint pursuant to the Joint Settlement, to which all the Parties intend to be bound.

Using language borrowed in part from the Administrative Procedure Act, Rule 75 of the Commission’s Rules of Practice and Procedure gives interested parties an opportunity, *inter alia*, to submit offers of settlement where “time, the nature of the proceeding, and the public interest permit.” 46 C.F.R. § 502.75(b); *see* 5. U.S.C. § 554(c). If dismissal is sought due to a settlement by the parties, “the settlement agreement must be submitted with the motion for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable.” 46 C.F.R. § 502.72(a)(3). “Unless the order states otherwise, a dismissal under this paragraph is without prejudice.” 46 C.F.R. § 502.72(a)(3).

The Commission has a strong and consistent policy of “encourag[ing] settlements and engag[ing] in every presumption which favors a finding that they are fair, correct, and valid.” *Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ 2002) (quoting *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 1085, 1091 (ALJ 1978) (*Old Ben Coal*)). *See also Ellenville Handle Works, Inc. v. Far Eastern Shipping Co.*, 20 S.R.R. 761, 762 (ALJ 1981).

The law favors the resolution of controversies and uncertainties through compromise and settlement rather than through litigation, and it is the policy of the law to uphold and enforce such contracts if they are fairly made and are not in contravention of some law or public policy. . . . The courts have considered it their duty to encourage rather than to discourage parties in resorting to compromise as a mode of adjusting conflicting claims. . . . The desire to uphold compromises and settlements is based upon various advantages which they have over litigation. The resolution of controversies by means of compromise and settlement is generally faster and less expensive than litigation; it results in a saving of time for the parties, the lawyers, and the courts, and it is thus advantageous to judicial administration, and, in turn, to government as a whole.

Moreover, the use of compromise and settlement is conducive to amicable and peaceful relations between the parties to a controversy.

Old Ben Coal, 18 S.R.R. at 1092 (quoting 15A AM. JUR. 2D *Compromise and Settlement* § 3 (1976)).

“While following these general principles, the Commission does not merely rubber stamp any proffered settlement, no matter how anxious the parties may be to terminate their litigation.” *Old Ben Coal*, 18 S.R.R. at 1092. However, if “a proffered settlement does not appear to violate any law or policy and is free of fraud, duress, undue influence, mistake or other defects which might make it unapprovable despite the strong policy of the law encouraging approval of settlements, the settlement will probably pass muster and receive approval.” *Old Ben Coal*, 18 S.R.R. at 1093. “[I]f it is the considered judgment of the parties that whatever benefits might result from vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement.” *Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134 (ALJ 1988) (citations omitted).

“Reaching a settlement allows the parties to settle their differences, without an admission of a violation of law by the respondent, when both the complainant and respondent have decided that it would be much cheaper to settle on such terms than to seek to prevail after expensive litigation.” *APM Terminals North America, Inc. v. Port Authority of New York and New Jersey*, 31 S.R.R. 623, 626 (FMC 2009) (citing *Puerto Rico Freight Sys. Inc. v. PR Logistics Corp.*, 30 S.R.R. 310, 311 (ALJ 2004)).

“The Parties are sophisticated corporate entities that reached the Agreement through robust negotiations, with the Agreement ‘reflect[ing] careful consideration of the parties of a variety of factors, including the relative strengths of their positions weighed against the risks and costs of continued litigation.’” Motion at 3 (citations omitted). The Parties further state:

The Agreement does not contravene any law or public policy, and it is neither unjust nor discriminatory. It does not contemplate any adverse effects on any third parties or the shipping public. Indeed, any third parties affected by the Agreement are parties to it.

The Agreement is a fair and reasonable resolution of the dispute between the Parties, as well as non-parties, and reflects the desire of all signatories to the Agreement to resolve their issues without the need for costly litigation before the Commission and the courts.

Id.

The Parties request that the settlement agreement be kept confidential. Pursuant to Commission Rule 5(b), parties may request confidentiality. 46 C.F.R. § 502.5(b); *see also* 46 C.F.R. § 502.141(j). “If parties wish to keep the terms of their settlement agreements confidential, the Commission, as well as the courts, have honored such requests.” *Al Kogan v. World Express Shipping, Transportation and Forwarding Services, Inc.*, 29 S.R.R. 68, 70 n.7

(ALJ 2000) (citations omitted); *Marine Dynamics v. RTM Line, Ltd.*, 27 S.R.R. 503, 504 (ALJ 1996); *Int'l Assoc. of NVOCCs v. Atlantic Container Line*, 25 S.R.R. 1607, 1609 (ALJ 1991).

The confidential settlement agreement has been reviewed by the undersigned and is available to the Commission. Given the Parties' request for confidentiality, confidential information included in the settlement agreement, and the Commission's history of permitting agreements settling private complaints to remain confidential, the parties' request for confidentiality for the settlement agreement is granted. The settlement agreement will be maintained in the Secretary's confidential files.

Based on the representations in the joint motion and other documents filed in this matter, the Parties have established that the settlement agreement does not appear to violate any law or policy or contain other defects which might make it unapprovable. The Parties are represented by counsel and have engaged in extensive arms-length settlement discussions. The proceeding would require considerable discovery, review and decision regarding two outstanding motions to dismiss, and in the alternative, a motion for summary decision, as well as likely review of the Parties' briefing and an initial decision which would be subject to exceptions or appeals. The Parties have determined that the settlement reasonably resolves the issues raised in the complaint without the need for costly and uncertain litigation. Accordingly, the settlement agreement is approved.

Upon consideration of the motion, the settlement agreement, and the record, and good cause having been stated, it is hereby:

ORDERED that the motion to approve the settlement agreement between Complainant AirBoss Defense Group, LLC, and Respondents FedEx Trade Networks Transport & Brokerage, Inc.; Mediterranean Shipping Company S.A.; and Mediterranean Shipping Company (USA) Inc., as Agent for Mediterranean Shipping Company S.A., be **GRANTED**. It is

FURTHER ORDERED that the request for confidential treatment be **GRANTED**. The settlement agreement should be maintained in the Secretary's confidential files. It is

FURTHER ORDERED that this proceeding be **DISMISSED WITH PREJUDICE**.



Linda S. Harris Crovelia
Administrative Law Judge